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Tesla hands \$29B comp package to Elon Musk amid 'AI talent war'



Tesla's board of directors has announced a new compensation package for CEO Elon Musk worth around \$29 billion in shares, with the company citing the “ever-intensifying AI talent war and Tesla's position at a critical inflection point” as reasons for the payout.

The massive pay package is being allocated through a 2018 Equity Incentive Plan that is already approved by shareholders, so it won't go to a vote, according to [a regulatory filing and Ann Lipton](#), a professor at the University of Colorado Law School. Tesla says it will put “a longer-term CEO compensation strategy” to a vote at the company's annual shareholder meeting, which is scheduled for November.

Musk's new compensation plan will be entirely voided if the Delaware Supreme Court decides to overturn a judge's [January 2024 decision](#) to strike down Musk's 2018 compensation package because of how it was negotiated behind the scenes. That pay package was worth around \$56 billion.

Musk has threatened to stop working on AI and robotics at Tesla [unless he gains more control over the company](#). Those threats preceded what is now a multimillion-dollar talent war among the [biggest companies in the artificial intelligence space](#), along with a rush of mergers and acquisitions.

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At the same time, Musk has built up his own AI company outside Tesla called xAI, which now owns X, his social media platform. This has happened while Tesla's [sales growth has vanished](#) and its brand has been damaged by Musk's involvement in the Trump administration.

Tesla [said](#) Monday that its board of directors formed a special committee earlier this year consisting of chairwoman Robyn Denholm and board member Kathleen Wilson-Thompson in order to sort out a new package.

The award they ultimately decided on involves giving Musk 96 million shares that will vest in two years, provided that he “serve continuously in a senior leadership role at Tesla” during that term and holds the stock for five years. Unlike Tesla's previous award to Musk, this new package does not appear to be tied to goals like increasing the company's stock price.

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At Tesla's Monday premarket trading price, that would be worth around \$29 billion. Musk will have to pay a \$23.34-per-share purchase price, bringing the total current value of the award to him to roughly \$26.7 billion. Depending on how the Delaware Supreme Court rules on Tesla's appeal, the package may be forfeited so "there cannot be any 'double dip,' according to Tesla.

"Elon will not be able to keep this new award in addition to the options he will be awarded under the 2018 CEO Performance Award should the courts rule in our favor," the company wrote.

Tesla said Musk and his brother Kimbal, who is also a board member, recused themselves from the process of constructing this new compensation package. Musk's involvement in the 2018 compensation package was one of the reasons Delaware Chancery Court Judge Chancellor Kathaleen McCormick [decided to strike it down](#) following a trial sparked by a shareholder lawsuit.

McCormick said the process of creating that 2018 plan was "deeply flawed" because of Musk's input and his deep connections to the people on Tesla's board. She also criticized that plan for not including any terms that would bind Musk to Tesla for "any set amount of time" — a likely reason for the two-year pledge included in the new plan.

McCormick's decision caused an uproar among Tesla's largest fans and many of its shareholders. It's also what inspired the company to re-incorporate from Delaware to Texas, a state with fewer established shareholder protections written into its laws. Tesla went as far as holding a shareholder vote to "re-affirm" the pay package. But McCormick [confirmed her decision in December 2024](#), saying the vote and Tesla's legal

arguments were “unprecedented theories [that] go against multiple strains of settled law.”

Update: This story and the headline have been updated to reflect that the award has been approved by Tesla’s board and does not need a shareholder vote.

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Tesla and its fans waged an unprecedented battle over Elon Musk’s \$56B pay package



Sean O'Kane — 10:16 AM PDT · June 13, 2024

The [Tesla](#) fans posted. And over the last few months, [Elon Musk](#) engaged.

Every time he did, Tesla's legal team had to get to work, writing and submitting regulatory filings to the Securities and Exchange Commission (SEC). It's all part of an effort to say that this time, when the shareholders vote to approve this monster \$56 billion compensation package, they were fully informed.

The Delaware judge who rescinded the 2018 pay package in January did so [in part because](#) shareholders weren't fully informed on the stockholder vote due to inaccurate proxy statements. So in the run-up to this vote — which will be finalized at Thursday's annual shareholder meeting — Tesla has clearly wanted to cover as many bases as possible by over-sharing anything Musk posted about or engaged with.

[Here](#) they are transcribing a five-minute video from TeslaBoomerMama video that Musk shared on X, where she pleaded with shareholders to vote "yes."

[Here](#) they are filing a video Musk shared of Andrew Ross Sorkin in Davos from 2018 supporting the original compensation plan, which was posted by an account the Anti-Defamation League [says](#) promotes QAnon.

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Here they are [posting](#) a screenshot of a post of support from Musk’s former divorce lawyer, and Tesla’s former general counsel, Todd Maron.

[Here](#) they are, in the final week before the vote, piling dozens of screenshots of posts Musk interacted with into one very long filing.



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None of these filings are signed, so it’s not clear who has been doing all this work. Musk has a bone-deep habit of behaving in a way that creates billable hours, so some of this is to be expected. But this push to “re-ratify” his compensation package has had Tesla’s regulatory team busier than maybe ever.

In terms of just raw filings, Tesla has submitted more to the SEC in the last three months than it has at any point in the last five years:

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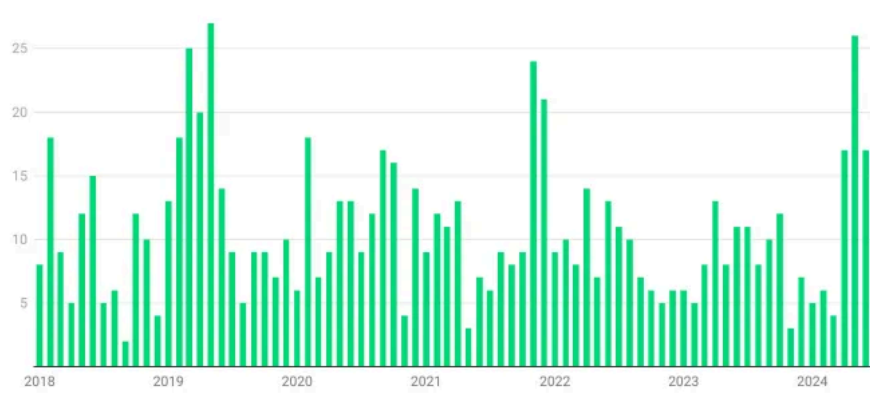
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Tesla's raw SEC filings by month



Source: SEC • Created with Datawrapper

IMAGE CREDITS: SEC

Strip out all the filings related to executives and institutional investors buying and selling shares, as well as all letters to and from the SEC, and Tesla has been submitting more filings than in any time since before the “funding secured” mess in 2018:

Tesla SEC filings by month, adjusted

(With share sale/purchase filings, SEC correspondence removed)



Source: SEC • Created with Datawrapper

IMAGE CREDITS: SEC

This is all set against the backdrop of an unrelenting get-out-the-vote effort from Tesla’s biggest fans over the last few months. They’ve posted countless calls-to-action, have [coordinated](#) via direct messages on Musk’s X platform to help shareholders figure out how to vote and more.

Tesla and its employees have joined in, too. The company posted [photos](#) of its Optimus robot prototype filling out a vote card. It published a [rosy timeline](#) of the company’s accomplishments since the plan was originally voted on in 2018. It even

spun up an entire website dedicated to promoting the shareholder meeting, including a video from Tesla chair Robyn Denholm — who, until this recent push, rarely made public appearances on behalf of the company.

Many of its top executives voiced support, including some who have rarely used X. Tesla VP of Supply Chain Karn Budhiraj, who has only ever posted about a dozen times on X, [wrote](#), “Elon is the driving force at Tesla and is critical for the future of the company.”

Tom Zhu, who was [recently moved](#) back to China amid Tesla’s larger restructuring, [wrote](#) that the company has a “vast vision beneath the surface that requires Elon’s wisdom, courage, and decisiveness to achieve.” Grace Tao, a high-ranking employee who leads communications in China and reportedly manages Tesla’s [relationship with the government](#) there, also [posted](#) (on Weibo) about Musk’s “wisdom, courage, and determination.”

Vanishingly few of the company’s employees or its supporters actually [touched on the substance](#) of the judge’s opinion that got us here: that Musk’s undeniable sway over Tesla and its board meant the process leading up to the pay package was inherently unfair.

But the effort has nonetheless helped Tesla’s shareholders reinforce the narrative around the company (and its stock) that Tesla is nothing without Musk, and that he deserves the compensation package he testified he [essentially negotiated with himself](#). Since the fight over Musk’s pay package and the re-incorporation to Texas is likely headed for months of legal challenges, that might be victory enough for now.

In fact, they're already [celebrating](#) as the votes are being tallied.

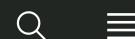
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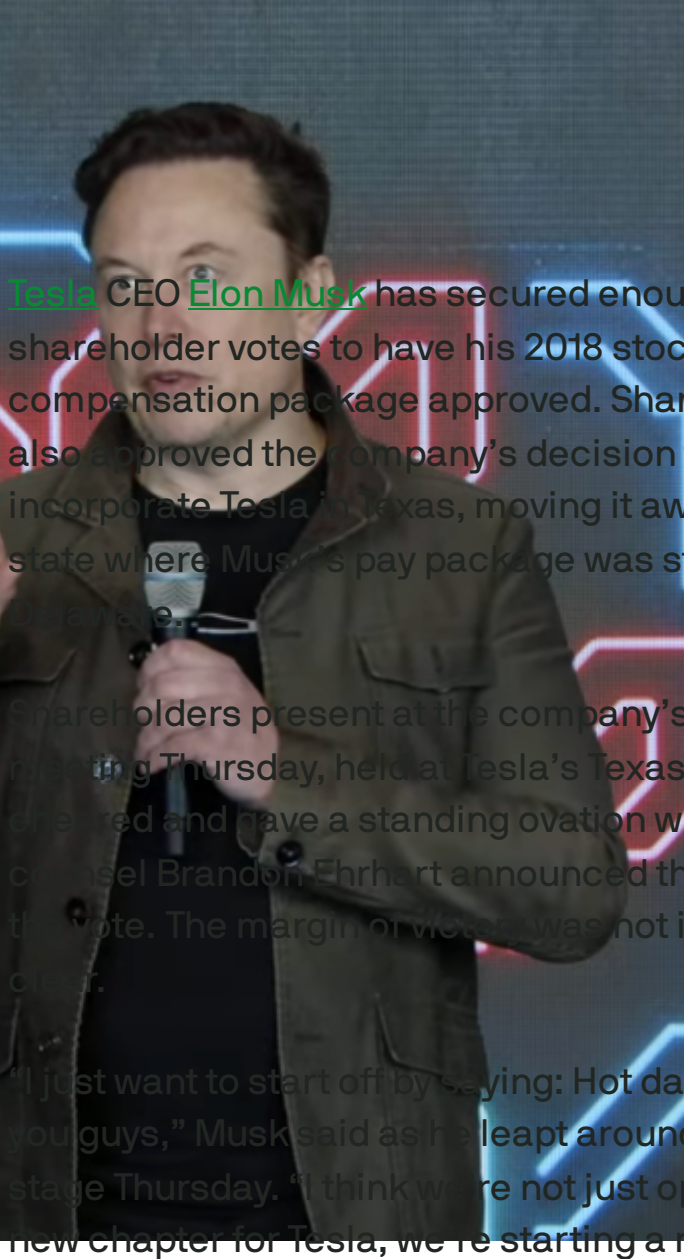


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Tesla shareholders vote yes again to approve Elon Musk's \$56B pay plan

Rebecca Bellan, Sean O'Kane

2:30 PM PDT · June 13, 2024



Tesla CEO **Elon Musk** has secured enough shareholder votes to have his 2018 stock option compensation package approved. Shareholders also approved the company's decision to re-incorporate Tesla in Texas, moving it away from the state where Musk's pay package was struck down: Delaware.

Shareholders present at the company's annual meeting Thursday, held at Tesla's Texas gigafactory, cheered and gave a standing ovation when general counsel Brandon Ehrhart announced the results of the vote. The margin of victory was not immediately clear.

"I just want to start off by saying: Hot damn, I love you guys," Musk said as he leapt around on the stage Thursday. "I think we're not just opening a new chapter for Tesla, we're starting a new book."

IMAGE CREDITS: TESLA / SCREENSHOT

The votes in favor of Musk's 2018 stock option award – which could mean he gets a payout of up to \$56 billion, the biggest CEO compensation package in history – doesn't ensure that he'll get it. The judge in Delaware who decided to rescind it still has to issue her final ruling.

Her post-trial opinion issued in January came after a years-long legal battle. Tesla shareholder Richard Tornetta **[filed a suit](#)** in 2019 to rescind Musk's pay deal, claiming at the time that Musk was a part-time CEO getting an unjust amount of money without the board demanding he focus entirely on Tesla.

That lawsuit and the evidence presented at trial led the judge, chancellor Kathaleen McCormick to void

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the pay package, [ruling that it was unfair](#). She said at the time that shareholders weren't fully informed at the time of the vote because Tesla didn't properly disclose Musk's control over the process of constructing the pay package.

Supporters of Tesla and Elon Musk have in the last few weeks posted relentlessly on X in favor of the CEO's pay package. [Musk has engaged](#) with many of those posts, which has led to a flurry of regulatory filings as Tesla worked to cover its proxy statement bases this time around.

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That said, shareholders are still likely to sue Tesla and Musk for approving a pay package for a CEO whose time is divided between several other companies, including xAI, SpaceX and Neuralink. In fact, Tesla and Musk have been sued twice this week: Once by shareholders who claimed [Musk made billions](#) selling Tesla stock in 2021 and 2022 using insider information, and again by separate

shareholders for starting xAI, [a competing AI company](#), and diverting talent and resources to it.

The fear of Musk’s pay package being blocked by the courts is likely why Tesla pushed to reincorporate in Texas, where the automaker clearly thinks it’ll get less of a challenge in the courts.

After McCormick of the Delaware Court of Chancery issued her opinion earlier this year, Musk posted on X: “Never incorporate your company in the state of Delaware.” He then [posted a poll](#) asking whether Tesla should change its state of incorporation to Texas, and now we’re here.

Unsurprisingly, none of the five shareholder proposals that would require Tesla to up its ESG game passed – things like annual reporting on anti-harassment and discrimination efforts, adoption of collective bargaining, and adopting targets and reporting for integrating sustainability metrics into senior executive compensation plans. The board recommended that shareholders vote against all of them, and typically, whatever the board recommends, Tesla shareholders go with.

Two stockholder proposals did pass. The first reduces director terms to one year, and the second requires simple majority voting provisions in Tesla’s governing documents.

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Tesla shareholders sue Musk for starting competing AI company

Rebecca Bellan, Sean O'Kane

11:44 AM PDT · June 13, 2024

IMAGE CREDITS:
PATRICK T. FALLON / BLOOMBERG / GETTY IMAGES

[Tesla](#) shareholders are suing CEO [Elon Musk](#) and members of the automaker's board of directors over Musk's decision to start [xAI](#), which they say is a competing AI company, and then divert talent and resources from Tesla to the new startup.

The [lawsuit](#) is one of the most direct challenges to Musk's decision to [start xAI](#), and it comes on the heels of his threat to develop AI outside of Tesla unless he is awarded more voting control over the company.

The suit was also filed just a few hours before Tesla is scheduled to host its [annual meeting](#), where shareholders will [likely vote to re-ratify](#) the \$56 billion compensation package that was [struck down](#) by a judge earlier this year.

Musk has long claimed that Tesla's real value is that it's not just a maker of electric vehicles, but that it's [actually an AI company](#). That claim is one reason why Tesla's stock is priced as high as that of a tech company, and more valuable than all four top automakers combined.

This new complaint was filed Thursday by Cleveland Bakers and Teamsters Pension Fund in Delaware Chancery Court, Daniel Hazen and Michael Giampietro on behalf of Tesla itself. In it, they allege that Musk and members of Tesla's board breached fiduciary duties to shareholders and unjustly enriched Musk by allowing the CEO to launch a competing company.

The plaintiffs in the case also say that Musk violated Tesla's code of business ethics by creating and leading xAI, and that the board has allowed Musk to continue to violate this code unimpeded. They are asking the court to force Musk to disgorge his stake in xAI and hand it over to Tesla.

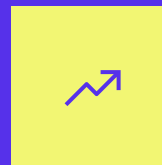
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“The notion that the CEO of a major, publicly traded Delaware corporation could — with the evident approval of his board — start a competing company, and then divert talent and resources from his corporation to the startup, is preposterous,” the complaint reads. It compares Musk’s actions to a hypothetical situation involving the CEO of Coca-Cola starting a rival soft-drink company and sending ingredients to it.

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Musk launched xAI in 2023 and recently pulled in [\\$6 billion in funding](#) for the startup that aims to compete with rivals like OpenAI, Microsoft and Alphabet.

The plaintiffs note that, soon after, Tesla began diverting talent and resources from Tesla to xAI. The lawsuit says at least 11 employees have joined xAI directly from Tesla, and points to how Tesla has reportedly been providing xAI access to its AI-related data.

The plaintiffs also point to [CNBC's reporting](#) that Musk diverted a sizable shipment of AI processors from Nvidia that had been reserved for Tesla to his social media company X, formerly known as Twitter. Musk had [posted](#) on X a few weeks prior that Tesla would spend \$10 billion this year “in combined training and inference AI,” and he’s also said that Nvidia’s pricey chips would be needed to help Tesla grow into a “leader in AI & robotics.”

[Musk admitted](#) to diverting the chips to X, claiming that Tesla’s new data center in Texas was still under construction and didn’t have room to store them.

“The Board has allowed Musk—the CEO and largest stockholder of Tesla—to found and lead another AI company; to plunder resources from Tesla and divert them to xAI; and to create billions in AI-related value at a company other than Tesla,” the plaintiffs write. “Consistent with its long history of obsequiousness to Musk, the Tesla Board has utterly failed to even attempt to meet its unyielding fiduciary duty to protect the interests of Tesla and its stockholders in the face of Musk’s brazen disloyalty.”

Earlier this week, other Tesla shareholders [filed a separate suit](#) against Musk, claiming he made billions of dollars by selling the automaker’s stock in 2021 and 2022 by using insider information.

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Rebecca Bellan

Senior Reporter |

Rebecca Bellan is a senior reporter at TechCrunch, where she covers Tesla and Elon Musk’s broader empire,...

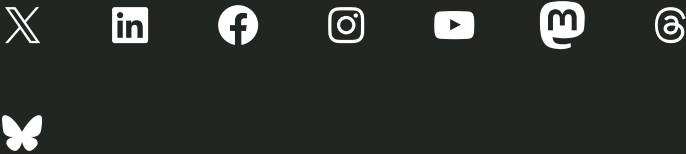


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